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AIB AXYS AFRICA

Weekly Global Markets Note

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• Global Markets Commentary

- Global markets powered through a volatile week marked by shifting developments in the US-Iran conflict, the blockbuster IPO of SpaceX, a more definitive policy stance from the ECB, and a notable inflation milestone in the US, with headline inflation breaching 4.0% for the first time in three years. Global equity markets closed on a mixed note, with some markets staging a recovery and paring losses booked in the previous week. Friday was a particularly strong session, with most indices closing in the green, in tandem with SpaceX's historic Initial Public Offering. The rocket maker debuted trading on Friday, ending the session at USD 160.95, up 19.2% from the IPO price of USD 135.00. At the same time, it became the sixth-largest company by valuation, while marking the largest IPO in history after 4.0% of its shares were sold for USD 75.00 Bn. Existing shareholders will now be able to sell their shares in the secondary market.
- Key data was released last week. US May inflation rose to 4.2% from 3.8% in April, breaching 4.0% for the first time in three years, on the back of elevated energy costs. Inflation has stubbornly remained above the Fed's target of 2.0%. Core inflation rose 2.9% y/y and 0.2% m/m.
- The European Central Bank hiked the benchmark rate by 25 bps to 2.25% from 2.00%. The decision was unanimous and widely expected by the market. Inflation, linked to the Middle East War, which has continued to climb, was a key consideration behind the hike. At the same time, the ECB revised its growth estimates downward to 0.8% for 2026, 1.2% for 2027, and 1.5% for 2028, while inflation is expected to remain elevated at 3.0% in 2026 before easing to 2.3% and 2.0% in 2027 and 2028, respectively.
- This week, the Fed is expected to convene for the first time under the leadership of Kevin Warsh, and the market is pricing in a hold, wait-and-see approach. On the other hand, the BOJ is expected to hike rates by 25.0 bps.

• Select Global Market Indices

Indices	Current	Previous	w/w % change
S & P 500	7,431	7,384	▲ 0.6%
DAX	24,635	24,759	▼ (0.5%)
Nikkei 225	66,020	66,588	▼ (0.9%)
Hang Seng	24,718	24,962	▼ (1.0%)
FTSE 100 (FTSE)	10,472	10,368	▲ 1.0%
Dow Jones	51,202	50,867	▲ 0.7%
Median			**▲ 0.1%**

Source: Investing.com AIB AXYS Research

- Global equity markets closed on a strong footing on Friday, although losses booked earlier in the week portrayed a mixed picture.
- In the US, the S&P 500, the Nasdaq, and the Dow rose 0.6%, 2.4%, and 0.7%, respectively, recovering from losses recorded the previous week.
- Across Europe, despite a 1.8% gain on Friday, which was buoyed by improved investor sentiment following developments in Middle East negotiations, the gain was not enough to secure the weekly gains that had been booked earlier. On the other hand, the FTSE 100 advanced 1.0% w/w, supported by a solid 1.5% gain on Friday amid improved optimism over a deal between the US and Iran.
- Asian markets exhibited bearish momentum, with the Hang Seng and Nikkei 225 shedding 1.0% and 0.9%, respectively. Although both indices rebounded on Friday to close the week on a strong footing, the gains were not enough to secure weekly wins owing to deeper losses earlier in the week.

• Fixed Income:

Bond	Current	Previous	w/w change
US 10 Yr Bond	4.49%	4.54%	▼ (4.7bps)
UK 10 Yr Gilt	4.84%	4.91%	▼ (7.3bps)
Germany 10 Yr Bund	3.00%	3.04%	▼ (3.8bps)
Japan 10 Year Bond	2.64%	2.67%	▼ (3.1bps)

Source: Investing.com, Bloomberg, AIB AXYS Research

- Bond yields broadly closed the week lower. In the US, the 10-year Treasury yield eased by 4.7 bps to 4.49% on Friday. During the week, markets digested data showing that both producer and consumer inflation continued to climb, increasing the likelihood of tightening as inflation is expected to remain elevated on the back of high energy costs.
- Across Europe, Germany's 10-year Bund yield eased by 3.8 bps to close the week at 3.00%, as markets continued to assess developments in the Middle East. Earlier in the week, the ECB hiked rates on account of higher inflation. At the same time, the UK 10-year Gilt yield also eased by 7.3 bps to settle at 4.84% on Friday.
- Crossing over to Asia, Japan's 10-year bond yield eased by 3.1 bps to 2.64% as investors shifted their focus to the BOJ meeting. The BOJ is widely expected to resume rate hikes amid elevated inflationary pressures.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.7046	0.7047	▼ (1bps)
USD/JPY	160.230	160.320	▼ (6bps)
GBP/USD	1.341	1.334	▲ 49bps
EUR/USD	1.157	1.152	▲ 42bps
US Dollar Index	99.75	100.05	▼ (30bps)

Source: Investing.com AIB AXYS Research

- The US dollar weakened during the week, dropping by 30.0 bps against a basket of currencies, as evidenced by the US Dollar Index, which closed the week at 99.75 from 100.05. Demand for the dollar as a safe-haven asset weakened towards the end of the week after it emerged that a peace deal was close to being signed by the US and Iran. Notably, the euro gained 42 bps during the week, with the EUR/USD pair closing at 1.157

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